■ PERFORMANCE ALERT — COST OVERRUN INVESTIGATION REPORT ■

Equinox Quantum LLC

250 Qubit Rd, San Jose, CA 95110 | Confidential Internal Document

COST OVERRUN INVESTIGATION REPORT

Period Ending: June 09, 2025 | Report ID: RPT-CRIT-7124890

EXECUTIVE SUMMARY

Modest revenue underperformance of 7% against target, attributed to delayed product launches and lower-than-projected conversion rates in the SMB channel. EBITDA margin has declined modestly. While not yet at crisis levels, management is implementing targeted corrective actions including sales force restructuring and renewed focus on the enterprise pipeline.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue ($M)	99.5	106.99	**-7%**	**Below Target**
EBITDA Margin (%)	15.5	18.6	**-3.1 pts**	**Below Target**
Customer Retention (%).	71.6	76.8	**-5.2%**	**Below Target**
New Customer Acquisition	82	337	**-255**	**At Risk**
Employee Satisfaction	52/100	78/100	**-26 pts**	**Below Target**

RECOMMENDED CORRECTIVE ACTIONS

1. Engage a Tier-1 management consulting firm to conduct a 60-day operational review and present a prioritised cost-reduction roadmap to the Board by the end of Q3.

2. Implement an immediate hiring freeze and discretionary spend moratorium pending completion of the operational review. CFO to report weekly cash position to the Board.

3. Initiate a structured outreach programme to top 20 at-risk accounts with executive sponsorship and tailored retention offers, targeting a churn reduction of at least 15% within 90 days.

4. Commission an independent valuation of all non-core business units to identify potential divestiture candidates that could generate liquidity of $15–25M within 6 months.

5. Convene an emergency all-hands leadership meeting within 5 business days to communicate the performance shortfall, outline the recovery plan, and address workforce concerns.

Prepared by: Preethi Nair, VP of Investor Relations
Approved by: ____________________________ | Date: June 11, 2025

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